Commercial Real Estate Purchase Financial Guide: Q&A Reference Manual

Q: What is the Debt Service Coverage Ratio (DSCR), and why do lenders track it?

A: DSCR measures a property's ability to cover its debt obligations. Calculated as Net Operating Income (NOI) divided by total debt service, lenders typically require a minimum DSCR of 1.20x to 1.25x to approve a commercial mortgage.

Q: How does a capitalization (Cap) rate function in commercial property valuation?

A: The Cap Rate represents the projected initial yield on an investment, calculated as NOI divided by the current property asset value. A lower Cap Rate signifies a higher valuation and lower perceived risk, while a higher rate indicates higher potential return with elevated risk.

Q: What is a Triple Net Lease (NNN), and how does it affect the buyer?

A: In an NNN property, the tenant pays all real estate taxes, building insurance, and maintenance costs in addition to base rent. For a buyer, this reduces operational management burdens and guarantees a highly predictable cash flow stream.

Q: What are the standard terms for a commercial mortgage compared to a residential loan?

A: Commercial loans require higher down payments (20% to 35%), have shorter amortization lengths or balloon payments (often 5 to 10-year terms amortized over 25 years), and are underwritten based on asset income performance rather than personal credit alone.

Q: What is environmental due diligence, and what financial risks does it eliminate?

A: Lenders require a Phase I Environmental Site Assessment (ESA) to check for historical hazardous substance contamination. Discovering contamination post-purchase creates catastrophic environmental liabilities and completely degrades the collateral value.